Schedule CBP-E Sheet 1
CAPACITY BIDDING PROGRAM - ELECT

APPLICABILITY

The Capacity Bidding Program - Elect (CBP-E) is a day-ahead program that is available to Aggregators, defined herein as an entity that aggregates one or more service accounts served under a residential or non-residential rate schedule, for the purposes of participating under this Schedule as an Aggregator. An Aggregator, third party or not, is subject to the terms and conditions of this Schedule and all applicable Agreements. Aggregators are eligible for compensation under this Schedule. When applicable, the Aggregator, not the Aggregator's individual customers, is responsible for all Capacity Nomination bid penalties. Furthermore, metering requirements must be met by all participating service accounts as defined in special conditions, prior to participation under this Schedule. (T)

Additionally, a Direct Participation Option (DPO) is available to eligible residential or non-residential customers participating with one or more service accounts. DPO Customers must comply with all applicable terms and conditions of this Schedule. DPO Customers are eligible for compensation under this Schedule and, when applicable, are responsible for all Capacity Nomination bid penalties. Enrollment under the DPO does not prohibit or preclude a customer from enrolling other service accounts with an approved Aggregator or from becoming an Aggregator for other service accounts. (N)

This Schedule is not applicable to customers served under Schedules MB-E, DM, DMS-1, DMS-2, DMS-3, D-SDP, SEP, GS-APS-E, TOU-BIP, AP-I, SLRP, or Option CPP of an applicable TOU rate schedule. All customers currently receiving service under any RTP, streetlight, area Lighting, traffic control, wireless technology rate, or participating in SCE's Expanded Dynamic Pricing Pilot approved in D.24-01-032 are not eligible to enroll in this Schedule. A customer's participation in other demand response programs or pilots may affect a customer's eligibility for service under this Schedule (see Special Condition 24).

TERRITORY

Within the entire territory served.

(Continued)

Schedule CBP-E Sheet 2
CAPACITY BIDDING PROGRAM - ELECT

RATES

All the Otherwise Applicable Tariff (OAT) charges and provisions applicable to each service account of a participating Aggregator or Operator shall apply. (N)

Capacity Credit Rate ($/kW-month)

Option	Price Trigger ($/MWh)	May	June	July	August	September	October
Elect Option 1	200	3.78	10.07	21.84	27.00	17.88	5.41
Elect Option 2	400	3.60	9.59	20.80	25.71	17.03	5.16
Elect Option 3	600	3.43	9.13	19.81	24.49	16.22	4.91

(Continued)

Schedule CBP-E Sheet 3
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS

1. Definitions. The following Definitions are applicable to service provided under this Schedule:

A. Aggregator: An entity that aggregates one or more service accounts of one or more end-use customers, for the purpose of participating under this Schedule as an Aggregator. Customers may elect to self-aggregate and serve as their own Aggregator to participate under this Schedule. (N) (N)

B. California Independent System Operator (CAISO): The California Independent System Operator Corporation, a nonprofit corporation that controls the transmission facilities of all participating transmission owners and dispatches certain generating units and loads. The CAISO is responsible for the operation and control of the statewide transmission grid.

C. CAISO Demand Response Provider (CAISO-DRP): An entity that is responsible for delivering certain DR Services into the CAISO's wholesale market and which has undertaken, in writing, by execution of the applicable agreement to comply with all applicable provisions of the CAISO Tariff. CAISO-DRP functions generally include registering customer Service Accounts in the CAISO's relevant systems and working with a Scheduling Coordinator to bid into and settle with the CAISO market.

D. Capacity Nomination: The amount of energy in kilowatts (kW) nominated per hour and thus, the amount of expected energy to be reduced for each hour of a CBP-E Event. If a nominated account uses its Prohibited Resource to lower demand during a CBP-E event, the Capacity Nomination must exclude the nominated account's Prohibited Resource Default Adjustment Value (DAV). Due to varying event types, SCE may accept multiple nomination values. (T)

E. Default Adjustment Value (DAV): The nameplate capacity value of the participating service account's Prohibited Resource(s) provided at the time of attestation. If a participating service account has multiple Prohibited Resource units at the same site, then the DAV is the sum of the nameplate capacity values from all Prohibited Resource units at the same site. For participating service accounts who do not use their Prohibited Resource to reduce load during a CBP-E event, as described in Special Condition 22.B.(1) b., the DAV will not be used in the calculation of the service account's Recorded Reduction described in Special Condition 16. For a participating service account electing to use its Prohibited Resource to reduce load during a CBP-E event on the same site for the same service account, as described in Special Condition 22.B.(1) c., the DAV is used to determine Recorded Reduction described in Special Condition 16. (T)

(Continued)

Schedule CBP-E Sheet 4
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

1. Definitions (Continued)

F. Default-Load Aggregation Point (DLAP): A geographic area corresponding to the IOU service area.

G. Direct Participation Option (DPO): An enrollment option that allows eligible customers to participate under this Schedule with one or more service accounts directly, without the use of a third-party Aggregator or self-aggregation. (N) | (N)

H. Emergency Load Reduction Program (ELRP) Sub-Group B.2.: The participant sub-group of the Emergency Load Reduction Program that consists of CBP-E aggregators and participants. (L) | (T) (L)

I. Meter Data Management Agent (MDMA): An entity that takes raw meter outputs, validates them using validation, editing and estimation rules, adds corollary information needed to characterize the customer, and makes complete customer information available to others for use in various applications.

J. Operator: SCE or authorized third-party administrator that facilitates and manages service accounts enrolled in the DPO. (N) (N)

K. Sub-Load Aggregation Point (SLAP): A geographical area, whereby generation and/or transmission constraints are grouped for the purposes of determining needed load reductions under this Schedule. (L)

2. Agreements. Aggregators must execute all applicable Agreements prior to participation under this Schedule. Necessary Agreements may include Capacity Bidding Program Elect Aggregator Agreement (Form 14-995), Authorization for Participation in Aggregated Demand Response Programs Form (Form 14-980), and Aggregator Remove Form (Form 14-933). Aggregators must be in full compliance with all terms of the Form 14-995 to participate in this Schedule. (T) DPO customers must apply and be approved by SCE to participate in this Schedule. (N) (N)

3. Assignment to SLAP: Upon successful enrollment, SCE will assign each participating service account to an SLAP, which may change over time. SCE will notify the Aggregator of any change to a participating service account's SLAP assignment. The effective date of the SLAP change will occur on the first day of the following operating calendar month. (T) | (T)

4. CBP-E Events. CBP-E Events may be triggered between the hours of 5 p.m. to 10 p.m. for May and 4 p.m. to 9 p.m. for June through October, Monday through Saturday for May through September, and Monday through Friday for October, excluding Holidays; CBP-E Event availability is shown in table format below. A CBP-E Event will be scheduled and noticed on a Day-Ahead basis.

(Continued)

Schedule CBP-E Sheet 5
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

4. CBP-E Events.(Continued)

Month	Day	Time
May	Non-holidays, Monday - Saturday	5 p.m. - 10 p.m.
June	Non-holidays, Monday - Saturday	4 p.m. - 9 p.m.
July	Non-holidays, Monday - Saturday	4 p.m. - 9 p.m.
August	Non-holidays, Monday - Saturday	4 p.m. - 9 p.m.
September	Non-holidays, Monday - Saturday	4 p.m. - 9 p.m.
October	Non-holidays, Monday - Friday	4 p.m. - 9 p.m.

5. CBP-E Event Triggers. A CBP-E Event may be triggered day-ahead when any one of the following criteria is met.

   A. The CAISO Day-Ahead Market energy price is equal to or greater than the trigger price for the Elect Option selected ($200/$400/$600 per MWh); or
   B. CAISO has declared a Flex Alert, Energy Emergency Alert (EEA) Watch, EEA-1, or EEA-2 Notice; or
   C. The Governor's Office has issued an emergency notice; or
   D. SCE system emergency.

6. CBP-E Emergency Events. CBP-E Emergency Events may be triggered on any day between the hours of 5 p.m. to 10 p.m. for May and 4 p.m. to 9 p.m. for June through October, including days when a CBP-E Event would not otherwise be available. A CBP-E Emergency Event will be scheduled and noticed on a day-ahead basis. (T)

(Continued)

Schedule CBP-E Sheet 6
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

7. CBP-E Emergency Event Triggers. A CBP-E Emergency Event may be triggered on days when:

   A. CAISO has declared a Flex Alert, an Energy Emergency Alert (EEA) Watch, EEA-1, EEA-2, or EEA-3 Notice; or
   B. The Governor's Office has issued an emergency notice.

8. CBP-E Test Events. CBP-E Test Events may be called within each SLAP for one two-hour event per month per program session (see Special Condition 9 Event Limits). All notification protocols, as well as all applicable credits and penalties, will apply during CBP-E Test Events. A CBP-E Test Event will be scheduled and noticed on a day-ahead basis when the following conditions are met:

   A. Test event is on a weekday during program hours after the 20th of the month;
   B. If there has not been any form of dispatch in that given month;
   C. If there has not been a test throughout the preceding month;
   D. If previous event or test performance was below 75 percent of the presently nominated value;
   E. There is not a state of emergency in California related to the grid; and
   F. There are not forecasted capacity shortfalls.

(Continued)

Schedule CBP-E Sheet 7
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

9. Event Limits. All CBP-E Events/Emergency Events/Test Events have the following limits:

Event Type	Maximum Events per Day	Minimum Duration per Event	Maximum Duration per Event	Maximum Events per Month	Maximum Event Hours per Operating Month per SLAP Location	Maximum Test Events per Year per SLAP Location
CBP-E Event	1	1 Hour	4 Hours	6	24 Hours	N/A
CBP-E Emergency Event	1	1 Hour	5 Hours	No limit	No limit	N/A
CBP-E Test Event	1	1 Hour	2 Hours	1	2 Hours	6

10. Notification of CBP-E Events/Emergency Events/Test Events. SCE will provide notification of an event via SCE's designated CBP-E internet website. Notification may also be given via SMS text message, electronic mail, or by telephone. The day-ahead notice will provide notifications by 8 p.m. the calendar day before an event.

11. CBP-E Price Trigger Options. Participating service accounts can only be nominated under one Price Trigger Option. (C) (C)

Option	Price Trigger	
	($/MWh)	($/kWh)
Elect Option 1	200	0.20
Elect Option 2	400	0.40
Elect Option 3	600	0.60

(Continued)

Schedule CBP-E Sheet 8
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

12. Capacity Nominations

The Aggregator or Operator must nominate which of its service accounts will participate in one of the Price Trigger Options and provide their Capacity Nomination at least fifteen (15) calendar days prior to the beginning of each operating month. Due to varying event types, SCE will accept four (4) separate nomination values (non-Holiday weekday, Saturday, Emergency weekend/holiday, and Emergency weekday). The Aggregator or Operator may nominate zero (0) kW for Saturday, Emergency weekend/holiday, and Emergency weekday event types. Non-holiday weekday nominations should be at least 100 kW within each SLAP and Price Trigger Option combination. Capacity Nomination(s) are valid for the entire operating month. (N) (N) (T)

Aggregators and Operator must include the following information in their monthly Capacity Nominations: (N)

A. Price Trigger Option selection;
B. Load Drop Estimate (LDE) for each nominated service account; and
C. SLAP designation.

SCE, at its discretion, may accept an Aggregator's or Operator's nomination(s) that is(are) less than 100 kW within an SLAP and Price Trigger Option. (N) (N)

If an Aggregator's or Operator's monthly nomination(s) is not accepted by CAISO or is rejected by SCE, then the Aggregator or DPO service account is not eligible for any capacity or energy payment for that operating month. (N) | (N)

A CAISO DRP may break or disaggregate the monthly Capacity Nomination for a given SLAP into smaller resources as needed to comply with the CAISO's telemetry requirements. If a CAISO integrated CBP-E resource is broken up to comply with CAISO's telemetry requirements, a CBP-E Aggregator's Capacity Nomination and Recorded Reduction will be measured for the entire SLAP and Price Trigger Option. (L)

(Continued)

Schedule CBP-E Sheet 9
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

12. Capacity Nominations (Continued) (N)

Operator will nominate DPO service accounts in Price Trigger Option #1 ($200/MWh) at least fifteen (15) calendar days prior to the beginning of each operating month. DPO service account's monthly nominated capacity amount will be fifty percent (50%) of the nomination month's on-peak demand or of the rated capacity of the enabling device(s), whichever is lower. CBP-E does not compensate for exported energy, therefore, the nomination amount cannot be less than zero kilowatts (0 kW) and service accounts that are net exporters during one or more hours during the available hours in Special Condition 4 will not be nominated. Operator may modify the monthly nominated capacity amount under the following situations:

A. Service account has incurred or has carried over penalties for at least two consecutive months; or
B. Performance exceeds 105% for three or more months in a calendar year. (N)

13. Cancellation of Capacity Nomination. A Capacity Nomination may be cancelled up until the time it is accepted by SCE. (L)

14. California Energy Commission Site Visits. All Aggregators and all participating service accounts through the Aggregators or DPO served under this Schedule automatically agree to allow the California Energy Commission, or its contracted agents, to conduct site visits for measurement and evaluation, and further agree to complete all program evaluation surveys. (T) (N) (L)

(Continued)

Schedule CBP-E Sheet 10
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

15. Baselines. The Aggregator must select either an unadjusted aggregated energy baseline or adjusted aggregated energy baseline for each non-residential aggregation for the operating month. If the Aggregator does not make an energy baseline selection, then the unadjusted aggregated energy baseline is the default baseline. An adjusted aggregated energy baseline is the only option for residential aggregations. The Five (5) Day Adjusted Energy Baseline (5AEB) and Three (3) Day Adjusted Energy Baseline (3AEB) options are only available to residential aggregations. (T) (T) (T) (T)

The Operator will select either an unadjusted energy baseline or adjusted energy baseline for each non-residential DPO service account it nominates for the operating month. If the Operator does not make a selection, then the unadjusted energy baseline is the default baseline. For each DPO residential service account nominated for the operating month, an adjusted energy baseline is the only option and is the default baseline. The 5AEB and 3AEB options are only available to residential DPO service accounts. (N)

All baseline calculations will exclude days in which a CBP-E Event, CBP-E Emergency Event, CBP-E Test Event, or ELRP Sub-Group B.2. event occurs.

A. Non-Residential 10-in-10 Non-Holiday Weekday Baseline. (C)

(1) 10-Day Energy Baseline (10EB): A service account must have at least 10 non-holiday weekdays of interval meter data available in SCE's billing system to have a valid 10EB. Only the hours included in the event will be included in the 10EB determination. The 10EB and 10AEB will be calculated on an hourly basis using the average hourly interval meter data of the immediate past 10 non-holiday weekdays. The 10EB cannot be less than zero (0). The 10EB and 10-Day Adjusted Energy Baseline (10AEB) will be calculated for an Aggregator's SLAP aggregated nomination(s) or for each DPO service account. (C) (D) (T) (N) (N)

(2) 10-Day Adjusted Energy Baseline (10AEB): The 10AEB is the product of the 10EB and the Day-Of Adjustment (DOA). For the 10AEB, the DOA is the ratio of (a) the average load of the first 3 hours of the 4 hours prior to the event to (b) the average load of the same hours from the 10 baseline days used in Special Condition 15.A.(1). The DOA value shall not be less than 0.60 or greater than 1.40. For any given event day, the DOA is the same for all hours of the event. The 10AEB cannot be less than zero (0). (N) (N)

(L)

(Continued)

Schedule CBP-E Sheet 11 (T)
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

15. Aggregated Baselines. (Continued) (L)

B. Non-Residential 4-in-4 Weekend and Holiday Baseline. (C)

(1) 4-Day Energy Baseline (4EB): A service account must have at least four weekend/holiday days of interval meter data available in SCE's billing system to have a valid 4EB. Only the hours included in the event will be included in the 4EB determination. The 4EB and 4AEB will be calculated on an hourly basis using the average hourly interval meter data of the immediate past 4 weekend and holiday days. The 4EB cannot be less than zero (0). The 4EB and 4-Day Adjusted Energy Baseline (4AEB) will be calculated for an Aggregator's SLAP aggregated nomination(s) or for each DPO service account. (C)(D)(T)(N) (N)

(2) 4-Day Adjusted Energy Baseline (4AEB): The 4AEB is the product of the 4EB and the DOA. For the 4AEB, the DOA is the ratio of (a) the average load of the first 3 hours of the 4 hours prior to the event to (b) the average load of the same hours from the baseline days used in Special Condition 15.B.(1). The DOA value shall not be less than 0.60 or greater than 1.40. For any given event day, the DOA is the same for all hours of the event. The 4AEB cannot be less than zero (0). (L)(N)

C. Residential 5-in-10 Non-Holiday Weekday Baseline. (L)(C)

(1) 5-Day Unadjusted Energy Baseline (5EB): A service account must have at least 10 non-holiday weekdays of interval meter data available in SCE's billing system to have a valid 5EB. The 5EB will be calculated for an Aggregator's SLAP aggregated nomination(s) or for each DPO service account. For a given event, the five-day unadjusted energy baseline (5EB) will be calculated on an hourly basis using the average of the interval meter data during that corresponding hour on the five (5) days of the immediate past 10 non-holiday weekdays that have the highest interval meter data during the same hours as the event. The 5EB cannot be less than zero (0). (C)(N)(N)(T)(T)(T)(N)

(2) 5-Day Adjusted Energy Baseline (5AEB): The 5EB is then multiplied by the DOA, which is the ratio of (a) the average load of the first 2 hours of the 4 hours prior to the event and the last 2 hours of the 4 hours after the event, not to exceed past 12 a.m., to (b) the average load of the same hours from the baseline days used in Special Condition 15.C.(1). The DOA value shall not be less than 0.60 or greater than 1.40. For any given event day, the DOA is the same for all hours of the event. The result is the 5AEB. The unadjusted 5EB is used only as an input to the 5AEB and cannot be selected by the Aggregator's or for each DPO service account. The 5AEB cannot be less than zero (0). (L)(C)(N) (N)

(Continued)

Schedule CBP-E Sheet 12 (T)
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

15. Aggregated Baselines (Continued). (L)

D. Residential 3-in-5 Weekend and Holiday Aggregated Baseline.

(1) 3-Day Energy Baseline (3EB): A service account must have at least five weekend/holiday days of interval meter data available in SCE's billing system to have a valid 3EB. The 3EB will be calculated for an Aggregator's SLAP aggregated nomination(s) or for each DPO service account. For a given event, the three-day unadjusted energy baseline (3EB) will be calculated on an hourly basis using a weighted average of the interval meter data during the corresponding hour on the 3 days of the immediate past 5 weekend and holiday days that have the highest interval meter data during the same hours as the event. The 3EB cannot be less than zero (0). The weighted formula for the 3-in-5 weekend and holiday event energy baseline is as follows: (C) (C) (T) (N) (N)

Weekend/Holiday Event Energy Baseline = (Interval meter data during corresponding Event hour on most recent baseline day x 0.5) + (Interval meter data during corresponding Event hour on second most recent baseline day x 0.3) + (Interval meter data during corresponding Event hour on third most recent baseline day x 0.2) (T) | | (T)

(2) 3-Day Adjusted Energy Baseline (3AEB): The 3EB is then multiplied by the DOA, which is the ratio of (a) the average load of the first 2 hours of the 4 hours prior to the Event and the last 2 hours of the 4 hours after the event, not to exceed past 12 a.m., to (b) the average load of the same hours from the baseline days used in Special Condition 15.D.(1). The DOA shall not be less than 0.60 or greater than 1.40. For any given event day, the DOA is the same for all hours of the event. The result is the 3AEB. The unadjusted 3EB is used only as an input to the 3AEB and cannot be selected by the Aggregator or for each DPO service account. The 3AEB cannot be less than zero (0). (L) | | | | | | (L)(C)(N) (N)

(Continued)

Schedule CBP-E Sheet 13
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

15. Aggregated Baselines (Continued). (L)

E. Establishment of Aggregated Energy Baseline.

10EB/10AEB/4EB/4AEB/5AEB/3AEB will be determined by SCE after the service account is billed following a CBP-E Event /CBP-E Emergency Event /CBP-E Test Event. The 10EB/10AEB/4EB/4AEB/5AEB/3AEB may vary for each hour and for each CBP-E/Emergency/Test Event. Only the service accounts included in an Aggregator's Capacity Nomination will be used in the establishment of an Aggregator's aggregated 10EB/10AEB/4EB/4AEB/5AEB/3AEB. (C)

16. Recorded Reduction. An Aggregator's Recorded Reduction equals the Aggregated Baseline (whether 10EB, 10AEB, 4EB, 4AEB, 5AEB or 3AEB), less the aggregated recorded kW, less the sum of the DAVs, in a given SLAP during each hour of a CBP-E Event/Emergency Event/Test Event occurring during a given Operating Month. The Recorded Reduction cannot be less than zero for purposes of calculating both Energy and Capacity payments. (T)

A DPO service account's Recorded Reduction equals the service account's Baseline (whether 10EB, 10AEB, 4EB, 4AEB, 5AEB or 3AEB), less the recorded kW, less the sum of the DAVs, during each hour of a CBP-E Event/Emergency Event/Test Event occurring during a given Operating Month. The Recorded Reduction cannot be less than zero for purposes of calculating both Energy and Capacity payments. (N) | | | (N)

17. Energy Payment for CBP-E Events/Test Events.

A. When there are zero CBP-E Events/Test Events triggered during an operating month, the Aggregator's or DPO service account's Energy Payment will be zero for that operating month. (N)

(Continued)

Schedule CBP-E Sheet 14
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

17. Energy Payment for CBP-E Events/Test Events (Continued).

B. When there are one or more CBP-E Events/Test Events triggered during an operating month, Aggregators or DPO service accounts may be eligible for an Energy Payment. The following components make up the Energy Payment for CBP-E Events/CBP-E Test Events: (N)

(1) A **Preliminary Energy Payment** is calculated as Capacity Nomination x Day-Ahead Market (DAM) Locational Marginal Price (LMP) for the resource's SLAP.

(2) A **Shortfall Penalty** is calculated as Shortfall Energy x LMP in the Real-Time Market (RTM) for the resource's SLAP.

(3) **Shortfall Energy** occurs when Recorded Reduction is less than the Capacity Nomination value and is calculated as Capacity Nomination – Recorded Reduction.

(4) **Recorded Reduction** as defined in Special Condition 16.

a. When the Recorded Reduction of a CBP-E Event/Test Event is equal to or greater than 100% of the Capacity Nomination, then the Shortfall Penalty is zero. (Any Recorded Reduction in excess of 100 percent of nominated kWh shall not be eligible for an additional Energy Payment).

b. When the Recorded Reduction of a CBP-E Event/Test Event is less than 100% of the Capacity Nomination, a Shortfall Penalty is generated based on the **Final Energy Payment** formula below.

A **Final Energy Payment** for a CBP-E/Test Event will be calculated using the following formula:

Preliminary Energy Payment minus **Shortfall Penalty (if applicable)**

c. When the Recorded Reduction of a CBP-E Event/Test Event is less than zero, then the recorded reduction will be capped at zero.

(Continued)

Schedule CBP-E Sheet 15
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

18. Energy Payment for CBP-E Emergency Events.

A. When there are zero CBP-E Emergency Events triggered during an operating month, the Aggregator's or DPO service account's Energy Payment will be zero for that operating month. (N)

B. When there are one or more CBP-E Emergency Events triggered during an operating month, Aggregators or DPO service account may be eligible for an Energy Payment as described in the formula below. There are no Shortfall Penalties for CBP Emergency Events. When the Recorded Reduction of a CBP-E Emergency Event is less than zero, then the recorded reduction will be capped at zero. (N)

A**n Energy Payment** for a CBP-E Emergency Event will be calculated using the following formula:

Recorded Reduction multiplied by **DAM LMP for the resource's SLAP**

19. Capacity Payment.

A. Only non-holiday weekday Capacity Nominations are included in the Capacity Payment calculations. Nominations for Saturdays and Emergency days (Sundays, Holidays, Saturdays in October, and any weekday event dispatched beyond the CBP-E Program limits) are excluded from the calculation and will not affect Capacity Payments.

B. When there are zero CBP-E Events/Test Events called during an operating month, the Capacity Payment shall equal the Capacity Nomination of a given Option multiplied by the applicable Capacity Credit Rate, as shown in the RATES section of this Schedule. (T)

Aggregator's Capacity Payment = Capacity Nomination * Capacity Credit Rate (T)

DPO Service Account Capacity Payment = (Capacity Nomination * Capacity Credit Rate) * 0.50 (N) (N)

C. When there are one or more CBP-E Events/Test events called during an operating month, the Aggregator's Delivered monthly Capacity Payment is adjusted based on performance shown in formulas under Special Condition 19.E.(1-5). Delivered Capacity and Delivered Capacity Ratio determines performance.

D. Delivered Capacity is the sum of the average Recorded Reduction of CBP-E Event(s)/Test Event for each SLAP that is triggered during the operating month plus the Capacity Nomination for the SLAP's that are not triggered during the operation month. Delivered Capacity calculations exclude Saturday events and CBP-E Emergency Events.

(Continued)

Schedule CBP-E Sheet 16
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

19. Capacity Payment.(Continued)

E. Delivered Capacity Ratio. Delivered Capacity Ratio is non-holiday weekday Delivered Capacity divided by non-holiday weekday Capacity Nomination. Delivered Capacity Ratio is calculated and applied when there are one or more CBP-E Events/Test Events during the month. (T)

(1) When the Delivered Capacity Ratio is greater than or equal to 105 percent, the Capacity Payment shall equal 105 percent of the Capacity Nomination multiplied by the applicable Capacity Credit Rate, as shown in the RATES section of this Schedule.

Aggregator's Capacity Payment = Capacity Nomination * Capacity Credit Rate * 1.05 (T)

DPO Service Account Capacity Payment = (Capacity Nomination * Capacity Credit Rate * 1.05) * 0.50 (N) (N)

(2) When the Delivered Capacity Ratio is at least 75 percent, but no greater than 104.99 percent, the Capacity Payment will equal Delivered Capacity multiplied by the applicable Capacity Credit Rate, as shown in the RATES section of this Schedule.

Aggregator's Capacity Payment = Delivered Capacity * Capacity Credit Rate * 1.00 (T)

DPO Service Account Capacity Payment = (Delivered Capacity * Capacity Credit Rate * 1.00) * 0.50 (N) (N)

(3) When the Delivered Capacity Ratio is at least 60 percent, but no greater than 74.99 percent, the Capacity Payment will equal the Delivered Capacity multiplied by 50 percent of the applicable Capacity Credit Rate, as shown in the RATES section of this Schedule.

Aggregator Capacity Payment = Delivered Capacity * 0.50 * Capacity Credit Rate (T)

DPO Service Account Capacity Payment = (Delivered Capacity * 0.50 * Capacity Credit Rate) * 0.50 (N) (N)

(L)

(Continued)

Schedule CBP-E Sheet 17 (T)
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

19. Capacity Payment.(Continued)

E. Delivered Capacity Ratio. (Continued)

(4) When the Delivered Capacity Ratio is at least 0, but no greater than 59.99 percent, the Capacity Payment will equal the Delivered Capacity minus 60 percent of the Capacity Nomination multiplied by the Capacity Credit Rate, as shown in the RATES section of this Schedule. (This will produce a negative dollar amount that will act as a charge to the Aggregator or DPO service account.) (N)

Aggregator's Capacity Payment = [Delivered Capacity – (0.60 * Capacity Nomination)] * Capacity Credit Rate (T)

DPO Service Account Capacity Payment = ([Delivered Capacity – (0.60 * Capacity Nomination)] * Capacity Credit Rate) * 0.50 (N) (N)

(5) When the Delivered Capacity Ratio is less than 0 percent, the Capacity Payment will equal zero minus 60 percent of the Capacity Nomination multiplied by the Capacity Credit Rate, as shown in the RATES section of this Schedule. (This will produce a negative dollar amount that will act as a charge to the Aggregator or DPO service account.) (N) (N)

Aggregator's Capacity Payment = [0 – (0.60 * Capacity Nomination)) * Capacity Credit Rate (T)

DPO Service Account Capacity Payment = ([0 – (0.60 * Capacity Nomination)) * Capacity Credit Rate) * 0.50 (N)

(L) (N)

(Continued)

Schedule CBP-E Sheet 18
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

20. Disbursement of Energy Payment and Capacity Payment.

Aggregators: Aggregators will receive applicable CBP-E payments or charges, as calculated in Special Conditions 17, 18, and 19 above. These payments will be disbursed approximately thirty (30) days, but no later than sixty (60) days, after all service accounts nominated for the operating month have been billed. The payment timeline is contingent upon the timely receipt of any information requested from the Aggregator. Payments to Aggregators will be in the form of a check, or other SCE-approved forms of electronic payment, When such calculations result in a net charge, SCE shall bill the Aggregator accordingly. (T)

DPO customers: each program year, DPO service accounts that have a cumulative net CBP-E capacity and/or energy payment of $10.00 or more (as calculated under Special Conditions 17, 18, and 19) will be paid by December 31 or approximately 60 days after the October operating month has been fully billed, whichever is later. Amounts less than $10.00 at the end of a program year will accrue and roll over to the next program year and SCE may defer disbursement at the next program-year disbursement cycle when the cumulative net balance is $10.00 or more. Payment timing remains contingent on SCE's ability to calculate capacity and/or energy payments. (N)

If DPO service account's interval meter data is incomplete, missing, or insufficient to calculate event performance, SCE may exclude the affected CBP-E events from payment calculations or make no payment. Where performance calculations result in a net charge or penalty, SCE will withhold future payments and apply them to the outstanding balance until the net balance is $0.00. Payments may be issued as a bill credit or another SCE-approved method. (N)

21. Aggregator Services. SCE has no obligations under this Schedule to the service accounts of a customer who elects, or is required, to be included in an Aggregator's list of participating service accounts. Customers with service accounts included in an Aggregator's list of participating service accounts must work with their Aggregator to determine applicable CBP-E requirements and/or payments. With the exception of the metering requirements, all other provisions of this Schedule, including payments, are applicable only to the Aggregator, not the individual service accounts working through an Aggregator. SCE's relationship, for purposes of this Schedule, is with the Aggregator not the individual service accounts of an Aggregator.

(Continued)

Schedule CBP-E Sheet 19
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

22. Use of Prohibited Resources:

Aggregators and DPO customers will not be eligible to receive demand response incentives for any participating service account that uses a prohibited resource, as defined in Special Condition 22.A., to reduce load during CBP-E Events/Emergency Events/Test Events. Only non-residential participating service accounts are required to submit attestations as defined in Special Condition 22.B. (N) (T) (T)

A. Prohibited Resources.

The following list of resources are prohibited in providing load reduction during demand response events: distributed generation technologies using diesel, natural gas, gasoline, propane, or liquefied petroleum gas, in topping cycle Combined Heat and Power (CHP) or non-CHP configuration ("Prohibited Resources"). The following resources are exempt from the prohibition: pressure reduction turbines and waste-heat-to-power bottoming cycle CHP, resources powered by fuel (e.g., renewable gas, renewable diesel, or biodiesel) that has received renewable certification from the California Air Resources Board, as well as energy storage resources not coupled with fossil fueled resources.

B. Attestation of Prohibited Resources

(1) All non-residential participating service accounts must attest to one of the following conditions in order to participate in this Schedule. (C)(T)
   a. Participating service account does not have a Prohibited Resource onsite. (T)
   b. Participating service account does have a Prohibited Resource onsite and will not use the resource to reduce load during any demand response event. Customer must provide the number of unit(s) of Prohibited Resource onsite, and the DAV for the Prohibited Resource onsite (as defined in Special Condition 1.E.). (T)
   c. Participating service account does have a Prohibited Resource onsite and may have to use the resource(s) during demand response events for safety, health, or operational reasons. Customer must provide the number of unit(s) of Prohibited Resource onsite, and the DAV for the Prohibited Resource onsite (as defined in Special Condition 1.E.). (T)

(2) Form Requirement: Aggregator's Participating Non-Residential Service Accounts: Participating service accounts must sign Form 14-980, Authorization for Participation in Aggregated Demand Response Programs Form. Customers with multiple participating service accounts enrolled through an Aggregator may submit one form for all participating service accounts with the same attestation as described in Special Condition 22.B. (1). Each aggregator is responsible for submitting the completed attestation form for all its non-residential participating service account(s) on this Schedule to SCE via the CBP-E enrollment internet website or other format acceptable by SCE. Participant's signature for the participating service account(s) may be in an electronic format, including a "click." (T) (T) (T) (T) (T) (T)

(Continued)

Schedule CBP-E Sheet 20
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

22. Use of Prohibited Resources (Continued):

B. Attestation of Prohibited Resources (Continued):

(3) All non-residential participating service accounts must attest at the time of enrollment. (T)

(4) Update Attestation: Participating service accounts may update their attestation(s) with any of the following changes, if the change is supported by documentation that confirms the operational change and can be verified by SCE or a Verification Administrator. Update of the Attestation may be subject to SCE's approval. (T)

a. Add, remove, or modify an onsite Prohibited Resource.
b. Change the status of the use of Prohibited Resource(s) to reduce load during any demand response event.
c. Change the Default Adjustment Value.

C. Verification of Attestation of Prohibited Resources:

The Verification Administrator (VA) is an independent contractor responsible for administering the verification of participating service accounts' Prohibited Resource attestations. All authorized agents performing work on behalf of the VA are also considered part of the VA. (T)

(1) Customer compliance and participation are subject to verification performed by the VA who determines the consequences associated with non-compliance as described in Special Condition 22.D. at its discretion.

(2) Participation in this Schedule is contingent on complying with possible verification requests and facility access for site visits, as deemed necessary by the VA. Compliance with VA requests will be determined by the VA.

(3) If the VA directs the installation of monitoring equipment for the purposes of verifying a customer's Prohibited Resources attestation, SCE will pay for the costs of installing and removing the monitoring equipment. Participating service accounts selected for the audit must either have monitoring equipment (e.g. a data logger and a current transformer) installed by May 1 of the audit year or if electing to use an integrated on-board interval meter that meets the technical requirements must have the on-board meter data initially checked before May 1 of the audit year. If the VA is unable to install the monitoring equipment or perform initial data checks by May 1 of the audit year, then the VA, at its discretion, may consider the participating service account to be a Type I or Type II Violation, as described in Special Condition 22.D., depending on whether the delay is due to a clerical and/or administrative error, or not. (T) (T)

(Continued)

Schedule CBP-E Sheet 21
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

22. Use of Prohibited Resources (Continued):

C. Verification of Attestation of Prohibited Resources (Continued):

(4) All participating service accounts are required to provide the VA with written operating manifest(s), date and time stamped photo(s) of the Prohibited Resource unit(s), load curtailment plan(s), single line diagram(s), permit copy(ies), or other information and/or documentation about their onsite Prohibited Resource unit(s). (T)

(5) Delayed responses to verification-related requests made by SCE or the VA

i. If a participating service account's delayed response is found by the VA to be a clerical or administrative error, the delayed response shall be deemed a Type I Violation and subject to Special Condition 22.D.(1).; (T)

ii. If a participating service account's delayed response is found by the VA to be of any reason other than clerical or administrative error, the delayed responses shall be deemed to be a Type II Violation and shall be subject to Special Condition 22.D.(2). (T)

(6) In the event that a participating service account has a Prohibited Resource with an on-board meter that is not a fuel cell resource and the customer fails to submit timely data to the VA, the VA may install and use a data logger and current transformer to detect operation of the resource. However, if the VA later determined that a prohibited resource which was monitored using a data logger and current transformer was indeed a fuel cell resource, the customer will have committed a Type I Violation and subject to Special Condition 22.D.(1).c. (T)

(7) Removing or tampering with monitoring equipment in such a way that the equipment is rendered unable to accurately monitor the resource and/or provide the required data is considered a Type II Violation and subject to Special Condition 22.D.(2). Additionally, that participating service account shall be required by SCE to reimburse SCE for the cost of any missing or damaged monitoring equipment. (T)

(Continued)

Schedule CBP-E Sheet 22
CAPACITY BIDDING PROGRAM - ELECT

D. Enforcement of Prohibition

The VA is responsible to enforce the prohibition.

(1) Type I Violation –

a. Invalid Attestation: This type of infraction includes mistakes on the attestation that may be reasonably found to be clerical or administrative in nature, such as reporting a higher than actual nameplate capacity value of a Prohibited Resource or not including an onsite Prohibited Resource on the attestation, as long as the resource is not used to reduce load during a DR event. These instances of "Type I" infractions may be subject to a 60-day cure period for customer correction and aggregator validation. SCE or the VA will notify the DPO customers or (C)
aggregators of any identified Invalid Attestation. Once notified, if the violation is not cured within 60 days, the participating service account will be removed from (T)
this Schedule at the next regularly scheduled meter read date. Once removed from this Schedule, if the participating service account is able to provide SCE with (T)
a valid attestation at the time of re-enrollment, the participating service account may re-enroll at any time. (T)

b. Delayed Responses for Verification: This type of infraction also includes participating service accounts with delayed response due to clerical or (T)
administrative errors as described in Special Condition 22.C.(5).i. These participating service accounts are also subject to a 60-day cure period to correct (T)
the clerical and/or administrative errors. SCE or the VA will notify the DPO customers or aggregators of any delayed responses with clerical or administrative (C)
errors. Once notified, if the violation is not cured within 60 days, then the violation will be considered a Type II Violation and the participating service accounts will be subject to Special Condition 22.D.(2). (T)

c. Incorrect Classification of Fuel Cell Resources: If the VA later determines that a prohibited resource which was monitored using a data logger and current transformer was indeed a fuel cell resource, the customer will have committed a Type I Violation as described in Special Condition 22.D.(6) that can be cured by providing complete and accurate data from the integrated on-board meter to the VA within 60 days of their request, otherwise the violation will be considered a Type II Violation and the customers will be subject to Special Condition 22.D.(2).

d. No Attestation: Any active customer that does not agree to the prohibition, by submitting an attestation at the time of enrollment, will not be eligible to be served under this Schedule.

(Continued)

Schedule CBP-E Sheet 23
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

22. Use of Prohibited Resources (Continued):

D. Enforcement of Prohibition of Resources (Continued):

(2) Type II Violation - Non-Compliance with the Prohibition: A Type II Violation is defined as a violation of the term(s) of its attestation when (a) the participating service account that did not attest to any use of any Prohibited Resource, but is using a Prohibited Resource to reduce load during a demand response event, or (b) a participating service account submits an invalid nameplate capacity value that is lower than the actual capacity value on the nameplate, (c) a participating service account with delayed responses that are not due to clerical or administrative errors as described in Special Condition 22.C.(5).ii., (d) a participating service account that failed to respond and correct the violation described in Special Condition 22.D.(1).b. or Special Condition 22.D.(1).c., or (e) a participating service account with violation as described in Special Condition 22.C.(7). SCE or the VA will notify the DPO customers or the aggregators of any identified Type II Violation. A participating service account identified with a single instance of a Type II Violation shall be removed from this Schedule for one year, and must wait 12 months to be eligible to re-enroll in this Schedule and all other "affected DR programs." A participating service account with two or more instances of Type II Violation shall be removed from this Schedule for a period of three years, and must wait 36 months to be eligible to re-enroll in this Schedule and all other "affected DR programs." "Affected DR programs" are all DR programs and pilots subject to the prohibition requirements in Decision 16-09-056 and Resolution E-4906. (T) (T) (T) (T) (T) (C) (T) (T)

E. Dispute Resolution:

Participating service accounts disputing a Type I or Type II Violation shall be permitted to engage in a dispute resolution process with the VA, SCE, the California Public Utilities Commission (Commission), and, if applicable, the aggregator. DBP customers, the aggregators, the participating service accounts of the aggregators, and SCE shall follow the Commission Alternative Dispute Resolution (ADR) and Formal Complaint processes to resolve disputes over verification issues. (T) (C) (C)

(Continued)

Schedule CBP-E Sheet 24
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

23. Required Metering and Internet Communication Equipment. All participating service accounts must have an approved interval meter installed and operating prior to eligibility for service under this Schedule. The interval meter must be able to record energy usage data in hourly intervals. In addition to SCE, an MDMA may also read the meter on behalf of an Energy Service Provider (ESP) when a participating service account is receiving Direct Access. Metering equipment (including telephone, or radio control communication device) must be in operation for the same time periods in Special Condition 15 to have valid baselines, as applicable, prior to eligibility under this Schedule. An internet connection is also required for eligibility under this Schedule. (T) (T)

24. Relationship to Other Demand Response Programs. Participating service accounts enrolled in this Schedule may not dual-participate in Schedules D-SDP, SEP, GS-APS-E, TOU-BIP, AP-I, SLRP, Option CPP of an applicable TOU rate schedule, RTP rate schedules, or SCE's Expanded Dynamic Pricing Pilot approved in D. 24-01-032. (T) (T)

25. Customer-Owned Electrical Generating Facilities. Load reductions may be achieved by operating back-up or onsite generation. The participating service accounts will be solely responsible for meeting all environmental and other regulatory requirements for the operation of such generation. (T)

    A. Where customer-owned electrical generating facilities are used to meet a part or all of the participating service account's electrical requirements, service shall be provided concurrently under the terms and conditions of this Schedule and the applicable Standby Schedule, Schedule S, Schedule TOU-8-S, or Schedule TOU-8-RTP. Parallel operation of such generating facilities with SCE's electrical system is permitted. A Generation Agreement is required for such operation. (T)

    B. Customer-owned electrical generating facilities used solely for auxiliary, emergency, or standby purposes (auxiliary/emergency generating facilities) to serve the load of the participating service account during a period when SCE's service is unavailable and when such load is isolated from the service of SCE are not subject to Schedules S, TOU-8-S, or TOU-8-RTP-S. However, upon approval by SCE, momentary parallel operation may be permitted in order for the customer to avoid interruption of load during a CBP-E Event/CBP-E Test Event or to allow the participating service accounts to test the auxiliary/emergency generating facilities. A Momentary Parallel Generation Contract is required for this type of service. (T) (T)

(Continued)

Schedule CBP-E Sheet 25
CAPACITY BIDDING PROGRAM - ELECT

SPECIAL CONDITIONS (Continued)

26. Termination of DPO Service Accounts. (N)

SCE may remove DPO service accounts when the DPO service account that has not met the conditions or obligations in this Schedule, notwithstanding the Prohibited Resource Non-Compliance Violations.

A DPO service account removed from this Schedule is not eligible to re-enroll in this Schedule during the subsequent 12 months. (N)

27. Holidays are defined as follows: (T)

Holidays are New Year's Day (January 1), Presidents' Day (third Monday in February), Memorial Day (last Monday in May), Independence Day (July 4), Labor Day (first Monday in September), Veterans Day (November 11), Thanksgiving Day (fourth Thursday in November), and Christmas (December 25).